

14	2019-01056036 GFRS Equipment Leasing Fund II, LLC, vs. Essence Water, Inc.,	Judgment Creditor GFRS Equipment Leasing Fund II, LLC Motion to Amend Judgment The Court denies Judgment Creditor GFRS Equipment Leasing Fund II, LLC’s Motion to amend the judgment pursuant to Code Civ. Proc. § 187 to add alter ego/successor entity C & B Beverage to the judgment. A. Legal Standard A motion to amend the judgment pursuant to Code Civ. Proc. § 187 gives the trial court the authority to amend a judgment to add additional judgment debtors. The theory underpinning this procedure is that the court is not really amending the judgment, but is merely inserting the correct name of the real defendant. [<i>NEC Electronics Inc. v. Hurt</i> (1989) 208 Cal. App. 3d 772; <i>McClellan v. Northridge Park Townhome Owners Ass’n, Inc.</i>, (2011) 89 Cal. App. 4th 746, 107.] A noticed motion is required to amend a judgment under Code of Civil Procedure section 187. (<i>Wells Fargo Bank, N.A. v. Weinberg</i> (2014) 227 Cal. App. 4th 1, 9.) However, the court is not required to hold an evidentiary hearing. (<i>Highland Springs Conference & Training Center v. City of Banning</i> (2016) 244 Cal. App. 4th 267, 280 [evidence in the form of declarations or deposition testimony will suffice].) In order for the court to grant the motion, two requirements must be met: (1) the new party must be the alter ego of the old party, and (2) in order to satisfy due process concerns, the new party must have controlled the litigation. Absent such control, the alter ego is a true nonparty. (See <i>Minton v. Cavaney</i> (1961) 56 Cal. 2d 576; <i>Jack Farenbaugh & Son v. Belmont Construction, Inc.</i> (1987) 194 Cal. App. 3d 1023.) To prevail on a motion to amend a judgment to add an alter ego, the judgment creditor must show, by a preponderance of the evidence, that (1) the parties to be added as judgment debtors had control of the underlying litigation and were virtually represented in that proceeding, (2) there is such a unity of interest and ownership that the separate personalities of the entity and the owners no longer exist, and (3) an inequitable result will follow if the acts are treated as those of the entity alone. (<i>Highland Springs Conference & Training Center v. City of Banning</i> (2016) 244 Cal. App. 4th 267.) B. Merits Here, Creditor tells the court that Judgment Debtors appeared to have transferred the operation of the business and brand by Essence Water and Joel Gabriel to C & B Beverage LLC, a Nevada limited liability company with its sole registered member Janelle Gabriel – Debtor Joel’s wife. (Jen Dec. ¶¶ 6-9; Exhibits C-G). The operations, brand, and products of Essence Water appears to have been fully transferred to the Third-Party Obligors, which was conveniently formed less than two (2) months after the April 2021 Assignment Order was issued by the Court. (Jen Dec. ¶8; Exhibits E). Similarly, Joel has admitted and affirmed that he is also the Director of Operations in the new closely held corporation, C & B Beverage. (Jen Dec. ¶ 10; Exhibit F). The Court questions the admissibility of some of the evidence provided.
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		However, Creditor has not established by a preponderance of the evidence that the alter ego controlled the litigation (e.g., by deposition testimony, declarations from the judgment creditor, corporate defendant and their attorneys, or testimony from a debtor examination). (<i>See Wollersheim v. Church of Scientology Int'l</i> (1999) 69 Cal.App.4th 1012, 1017.)
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		Because of due process concerns, a default judgment is not subject to this kind of amendment. (<i>See Motores de Mexicali, S.A. v. Sup.Ct.</i> (1958) 51 C2d 172, 175-176; <i>Wolf Metals Inc. v. Rand Pacific Sales, Inc.</i> (2016) 4 CA5th 698, 703-704, 708-709; <i>NEC Electronics, Inc. v. Hurt</i> (1989) 208 CA3d 772, 779.)
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		Here, the Application for entry of sister-state judgment shows that the underling judgment was entered in Arizona by default. (ROA 2). Thus, the Motion is denied.
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